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Case Number: 26NNCV00236 Hearing Date: July 10, 2026 Dept: B

Hon. Victor Avila, Dept B

MOTION TO COMPEL ARBITRATION

Hearing Date: 7/10/26

CASE NO./NAME: 26NNCV00236

Armen Gharakhaniansiraki v. Mercedes-Benz USA, LLC et al.

Moving Party: Defendant

Mercedes-Benz USA, LLC

Responding Party: Plaintiff Armen Gharakhaniansiraki

Notice: Sufficient

Ruling: DENY

The Court is

requesting oral argument on the following issues:

Plaintiff:

How is Mercedes-Benz

USA not considered a third-party beneficiary when the plain text of the lease agreement, which was agreed to by Plaintiff when they signed the lease agreement, lists Mercedes-Benz USA as a third-party beneficiary?

Defendant:

Regarding the first requirement to show that the party is a third-party beneficiary to a contract, as stated in the Goonewardene case, how does Mercedes-Benz USA, in fact, benefit from a contract that was agreed to between the Plaintiff and the dealership?

Even if Mercedes-Benz USA is a third-party beneficiary that provides Mercedes-Benz USA with standing to compel arbitration regarding the lease, how does that requirement force Plaintiff to have to arbitrate a Song-Beverly action, which is a statutory scheme?

The tentative ruling will become the ruling of the court if no argument is received.

TENTATIVE RULING

BACKGROUND

This is a lemon law case. On March 12, 2024, plaintiff Armen Gharakhaniansiraki (Plaintiff) leased a 2023 Mercedes-Benz EQW350 (Vehicle) from the dealership WI Simonson (Dealership). On January 13, 2026, Plaintiff filed the operative Complaint against Mercedes-Benz USA, LLC (Defendant) and Calstar Motors, Inc. alleging three causes of action for (1) Violation of Song-Beverly Act – Breach of Express Warranty, (2) Violation of Song-Beverly Act – Breach of Implied Warranty, and (3) negligent repair.

On March 30, 2026, Defendant filed the instant motion to compel arbitration and stay action. Plaintiff filed an opposition on June 22, 2026. Defendant filed a reply on July 2, 2026.

REQUEST FOR JUDICIAL NOTICE

Defendant requests judicial notice of Exhibit 1: Plaintiff's Complaint (filed January 13, 2026). The request is

granted. (Evid. Code, § 452 (d).)

Plaintiff requests judicial notice

of Exhibits: (1) the Appellate Court's opinion in Martha Ochoa v. Ford Motor Company (2023) 89 Cal.App.5th 1324; (2) the Appellate Court's opinion in Mark Kielar v. Hyundai Motor America (Case No. C096773; Superior Court No. S-CV-0048230); and (3) the Ninth Circuit's opinion in Ngo v. BMW of North America, LLC et al., (9th Cir. 2022) 23 F.4th 942. The request is granted. (Evid. Code, § 452 (d).)

LEGAL

STANDARD

Parties may be compelled to arbitrate a dispute upon

the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) said agreement covers the controversy or controversies in the parties' dispute. (Code Civ. Proc., § 1281.2; Omar v. Ralphs Grocery Co. (2004) 118 Cal.App.4th 955, 961.)

DISCUSSION

Pursuant

to the terms of the purported arbitration agreement, the Federal Arbitration Act governs the agreement. This is not disputed by either party. (Ameripour Decl., Exh. 2, p. 4.)

Written Arbitration Agreement Between
Parties Exists

Under both the

Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. § 1281.2.) This is usually done by presenting a copy of the signed, written agreement to the court. "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim, or a copy must be physically or

electronically attached to the petition and incorporated by reference." (Cal. Rules of Court, rule 3.1330.) The moving party must also establish the other party's refusal to arbitrate the controversy. (Code of Civ. Proc. § 1281.2.) The filing of a lawsuit against the moving party for a controversy clearly within the scope of the arbitration agreement affirmatively establishes the other party's refusal to arbitrate the controversy. (Hyundai Amco America, Inc. v. S3H, Inc. (2014) 232 Cal.App.4th 572, 577.)

Defendant argues

that they have established an arbitration agreement exists by providing a copy of the lease agreement containing the arbitration provisions. (Mot., p. 3.) Plaintiff does not argue against the existence of an arbitration agreement.

Here, the lease

agreement provided by Defendant contains a clearly identified arbitration clause. (Ameripour Decl., Exh. 2, p. 4.) While Defendant has provided a copy of the arbitration agreement, Defendant is not a signatory to the agreement. (Ibid.) The arbitration agreement is within a lease executed by and between Plaintiff and the Dealership. (Ibid.) Defendant relies on standing under the agreement as a third-party beneficiary. (Mot., p. 5.)

Arbitration

Agreement Validity as Intended Third-Party Beneficiary

In ruling on a

motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.) A petition to compel arbitration is a suit in equity to compel specific performance of a contract. (Frog Creek Partners, LLC. v. Vance Brown, Inc. (2012) 206 Cal.App.4th 515, 532.). Arbitration is a matter of contract, and a party cannot be required to arbitrate a dispute he has not agreed to submit. (Villacreses v. Molinari (2005) 132 Cal.App.4th 1223, 1230.)

Defendant argues

that they are an intended third-party beneficiary to the agreement and can enforce it. (Motion, p. 5.) The arbitration agreement in the lease states "any claim or dispute whether in contract, tort or otherwise...between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor,

including Mercedes-Benz USA LLC (each a “Third-Party Beneficiary”)... shall, at the election of either you, us, or a third party beneficiary, be resolved by a neutral, binding arbitration and not by a court action”. (Ibid; see also Ameripour Decl., Exh. 2, p. 4.)

Plaintiff argues

that Defendant mistakenly relies on equitable estoppel rules to create standing for them to enforce the arbitration agreement found in the lease. (Opp., p. 4.) Plaintiff argues that the argument is flawed because Plaintiff is not attempting to enforce the lease with the Dealership against Defendant, since Defendant is not a signatory. (Ibid.) Moreover, Plaintiff argues that a non-signatory may compel arbitration only “when the causes of action against the non-signatory are intimately founded in and intertwined with the underlying contractual obligations.” (Goldman v. KPMG, LLP (2009) 173 Cal.App.4th 209, 217-218; Opp., p. 4.) Plaintiff further argues that a Plaintiff cannot be forced to arbitrate with a non-signatory. (Opp., p. 5.) Plaintiff argues equitable estoppel does not apply simply because Defendant is mentioned in the agreement. (Opp., p. 6.) Further, Plaintiff argues that their Complaint does not reference or rely on the lease whatsoever, Plaintiff instead relies on statutory obligations found in the Song Beverly Act. (Ibid.) Plaintiff argues that the Complaint can in no way be intertwined with obligations in the lease agreement. (Ibid.)

In reply,

Defendant reiterates that they are a named and intended third-party beneficiary with the ability to enforce arbitration. (Reply, pp. 2-3.)

With respect to

the third-party beneficiary argument, Plaintiff argues that Defendant cannot show that they are a valid Third-Party Beneficiary because Defendant cannot establish factors consistent with the three-prong test adopted by the California Supreme Court. (Opp., p. 8.) These factors include “ (1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.) Moreover, Plaintiff argues that the terms of the arbitration agreement limit enforcement to Plaintiff and the Dealership. (Opp., p. 9.)

Here, Defendant

is a named Third-Party Beneficiary to the arbitration agreement, where power to enforce the provision is explicitly provided to Third-Party Beneficiaries. (Ameripour Decl., Exh. 2, p. 4.) Moreover, the arbitration provision itself provides that any dispute between Plaintiff and the vehicle distributor, named as Defendant, shall be bound to arbitration. (Ibid.) Nonetheless, the cause of action against Defendant arises out of the lease agreement because it created the distributor-consumer relationship necessary to state claim for relief under the Song-Beverly Act. The court in Goonewardene, on which Plaintiff relies, correctly recites the standards for a determination of Third-Party Beneficiary, but the Court also “carefully examine[s] express provisions of the contract at issue (Goonewardene, supra, 6 Cal.5th at 830.) The contract in this case establishes that Defendant’s involvement is consistent with the expectations of the parties because Defendant is named. Moreover, Plaintiff’s argument that Defendant does not benefit from the lease is unpersuasive. Plaintiff argues that parties who may invoke the arbitration clause equates to benefit. Nonetheless, as discussed above, Defendant is explicitly listed as a Third Party who may enforce the provision. (Ameripour Decl., Exh. 2, p. 4.)

Therefore,

Defendant has standing as a Third-Party Beneficiary to move for enforcement of the valid arbitration agreement.

Arbitration Agreement Does Not Encompass Plaintiff’s Claims

The arbitration

agreement must encompass the claims for which Plaintiff has filed suit in order to be valid in the present action. “The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute.” (California Correctional Peace Officers’ Ass’n v. State (2006) 142 Cal.App.4th 198, 205.) Under the Federal Arbitration Act (FAA) any arbitration agreement that is written and involving interstate commerce shall be valid, irrevocable, and enforceable unless grounds exist at law or equity to revoke the contract. (9 U.S.C. § 2.)

Defendant argues

that the arbitration agreement encompasses the claims Plaintiff has filed against them and that the agreement must be deemed enforceable under the FAA.

Defendant alleges that claims brought under the Song-Beverly Act refer directly to retail purchases or leases made by consumers of vehicles. (Mot., p. 10.) Since the claims brought by Plaintiff arise out of the lease of the vehicle, Defendant argues they are explicitly covered by the arbitration agreement. (Ibid.) Moreover, Defendant argues that the FAA, which applies here through explicit reference, requires enforcement of the arbitration agreement because the agreement is in writing and involves automotive sale contracts which is an instrument of interstate commerce. (Mot., pp. 6-7.) Thus, Defendant argues that it is proper for them to compel the obligation to arbitrate. (Mot., p. 10.)

Plaintiff argues

that the decision in *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 (“*Ford Motor*”) should hold weight here because it addresses the threshold question, whether manufacturer warranty claims arise from lease contracts and whether manufacturers can invoke those agreements to compel arbitration. (Opp., pp. 12-13.) Plaintiff points out, as the court does in *Ford Motor*, that dealers expressly disclaim any warranties in their sales contract but that the disclaimer does not affect any warranties provided by the manufacturer. (Opp., p. 13; *Ford Motor*, supra, 17 Cal.5th at 1324-1335.) Plaintiff does not address Defendant’s argument for enforcement under the FAA.

In reply,

Defendant argues that *Ford Motor* is not applicable to this set of facts because in *Ford Motor* the manufacturer was not named, and in the instant case Defendant is named. (Reply, p. 5.)

Here, the

reasoning in *Ford Motor* controls. In Plaintiff’s lease agreement with Mercedes-Benz of West Covina, there is a warranty disclaimer on the same page as the arbitration clause, which states that the Dealership “makes no warranties or representations, either express or implied”. (Ameripour Decl., Exh. 2, p. 4.) The manufacturer does not and cannot disclaim their statutory warranty in a contract they are not signatory to. As the court in *Ford Motor* explained, dealers disclaim any assurance of a warranty from the seller in the lease contract, “[b]ut that disclaimer does not mean the statutory warranty obligations imposed on others become terms of the sales contract.” (*Ford Motor*, supra, 17 Cal.5th at 1135.) Meaning, the manufacturer’s warranty is not automatically part of the lease contract and subject to terms of arbitration even if they are named, because they are not a signatory. “The warranties upon which plaintiffs’ claims rest are independent of the sales

contracts, not intimately intertwined with them.” (Ibid.)

Therefore, the
arbitration agreement does not encompass Plaintiff's claims. Defendant's motion
to compel arbitration is DENIED

Stay of
Proceedings

Under 9 U.S.C. § 3, when a court finds that a dispute is subject to
arbitration and a party requests a stay, the court “shall” stay the action
until arbitration has been completed. California law is in accord. (Code Civ.
Proc., §§ 1281.2, 1281.4.)

Defendant's request to stay the proceeding is DENIED because the motion
to compel arbitration is denied.

CONCLUSION
AND ORDER

Defendant Mercedes-Benz USA, LLC's
motion to compel arbitration and stay proceedings is DENIED.

Defendant
Mercedes-Benz USA, LLC shall provide notice of this order.

Hon. Victor Avila

Judge of the Superior Court